Government and the Private Sector

by Sophia

WHAT'S COVERED

In this lesson, you will learn about the complicated relationship between government and industry in terms of regulation. Specifically, this lesson will cover:

1. Government Regulation and the Constitution

Over the past decade, many politicians have run for office on a platform of reducing government regulation. There are two related positions on reducing federal government regulation. The first is essentially a **states' rights** position that seeks to limit the powers of the federal government to those very specifically enumerated in the Constitution. It is based on principles embodied in the Tenth Amendment and on a narrow interpretation of the Commerce Clause. The Tenth Amendment reserves to the states any right not specifically delegated to the federal government. The **Commerce Clause** is the part of the Constitution that gives the federal government the right to regulate commerce between states. The second, related view of government regulation holds that "less is better" at all levels, whether state or federal. Its followers simply seek to reduce the size of government and regulation at every level.

These two philosophies might be characterized as less government regulation vs. no government regulation. The preference for state regulation is often based on a belief in the business community that many states are softer on regulation than the federal government, or that states are closer to the problems businesses face and are more efficient at addressing them. However, there is little clear evidence that one level of government is more efficient than another. The real challenge is weighing the benefits of regulation against the costs and finding the right balance between over- and under-regulation. Weak regulation can allow a business to cut corners. For instance, auto emission regulations intended to go into effect by certain dates have been delayed multiple times since the 1980s. Auto emission regulations have become politically charged, constantly changing depending on the party in power, and some states have responded with their own legislation instead of waiting for the federal stalemate to end. Regulation that is consistently enforced in the effort to achieve the long-term goal, such as cleaner air, is preferable to a moving target.

A third position is that government is not necessarily a bad thing. Such a "federalist" philosophy might assert that centralized government provides an array of benefits for citizens. For example, in the *Federalist Papers*, Alexander Hamilton emphasized that a well-intentioned central government was not the enemy of liberty but rather the best means of securing the rights achieved through the passage of the Constitution. He and others also pointed out an advantage of federal over state government—a large republic such as the United States would actually benefit from a larger electorate and a larger pool of qualified leaders, and competing state and regional interests would be more balanced under federal regulation.

Acceptance of one or the other of these philosophies may lean an administration towards more or less regulation, as well as calibrating its response to aggressive lobbying by industries seeking to reduce regulation they view as burdensome. The results for the environment and/or public health can sometimes be disastrous.

TRY IT

During the Civil Rights movement, states' rights were invoked as a challenge to federal legislation mandating an end to segregation.

What social issues are being fought right now that put federal oversight against states' rights? +

Perhaps the biggest in 2023 is the debate over access to abortion. With the Supreme Court overturning Roe vs. Wade and relegating abortion to the states to decide, some are seeking legislation to ban most or all abortions while others seek to protect abortion access; the difference depends on which party is in power and public sentiment in each state.

Questions of regulation and political influence have become even more sensitive in recent years, following the decision in *Citizens United v. Federal Election Commission* (2010). The Supreme Court ruled 5-4 that laws preventing corporations from using general treasury funds for political advertising violated the First Amendment's guarantee of freedom of speech. In other words, the government may not prevent corporations from spending money to support or oppose candidates in elections. With this decision, the Court invalidated numerous campaign finance reform laws. Many commentators think the decision opened the floodgates for special interest groups to spend without limit in U.S. elections.

THINK ABOUT IT

What are the advantages and disadvantages of corporations spending money to influence elections? What does *Citizens United* mean for businesses? Business entities may now seek to persuade the voting public by spending an unlimited amount of money on political ads, whether through social media or traditional print and broadcast media. Businesses opposed to government regulation can spend without limit to help elect candidates whose position on reduced regulation is the same as theirs, thereby increasing the pressure on Congress to deregulate. Many think the profusion of money in U.S. politics is one cause of the partisan divide that often paralyzes the legislative branch and unduly influences the executive branch.

Senator Paul Sarbanes (D-MD), was among those who wanted to see financial limits on business lobbying groups and political action committees, and a co-sponsor of the **Sarbanes-Oxley Act (SOX)** of 2002. Passed after infamous scandals like Enron in 2001, SOX ensures that we now consider it both unethical *and* illegal to deceive shareholders, creditors, and the public at large.

Sarbanes-Oxley applies to publicly traded companies and is enforced by the Securities and Exchange Commission. It covers multiple topics such as the independence of corporate boards and outside certified public accounting firms that audit corporations. The law also makes the CEO and CFO personally responsible for errors in annual audits—thus making it harder to "cook the books." Finally, it prohibits company loans to executives and grants protection to employees who expose illegal activity.

Some critics thought compliance with SOX might be too costly. However, after more than a decade of enforcement, it is now clear to most that Sarbanes-Oxley was, and is, a necessary regulatory step. It has allowed for significant progress to be made in slowing down the kind of unethical conduct that led to the Enron fraud. Although SOX technically applies only to publicly traded companies, many private companies also adopt SOX-style internal controls and transparency, as do not-for-profits such as universities and hospitals.

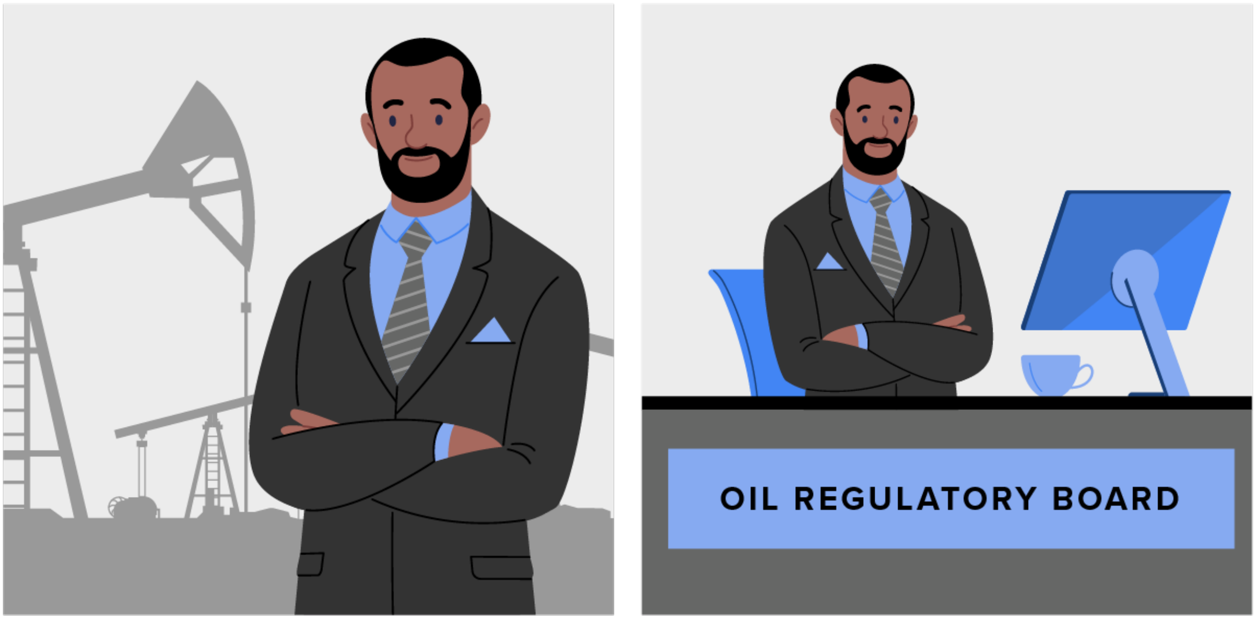
TERMS TO KNOW

States' Rights
A constitutional amendment that assigns anything not specifically outlined in the Constitution to states.

Commerce Clause
A constitutional clause that gives the federal government the prerogative to regulate business.

Sarbanes-Oxley Act (SOX)
A 2002 law that outlines penalties for deceiving shareholders, creditors, and the public.

2. The Revolving Door Between Government Regulation and the Private Sector



While private companies may take the initiative in response to public demand, and intergovernmental cooperation can accomplish many good things, sometimes the solution is for a private-sector company or industry to work directly with the government. Given the pressure on federal, state, and local agencies to reduce their budgets, many have increasingly turned to public-private partnerships, or P3s, as a means to solve problems. This has led to many longtime quasi-corporations, which operate largely as a corporation but have government oversight. Examples include commuter rail service Amtrak, the United States Postal Service, and public lenders like Fannie Mae.

Sometimes, however, the relationship between business and government can become too close, as when executives from the private sector leave their jobs to work for government agencies, becoming the regulators rather than the regulated, and then return to industry in a kind of "revolving door" effect. With people working for one side, then the other, back and forth, it can quickly blur boundaries, lines, and invite conflicts of interest. For example, Goldman Sachs, one of the world's largest financial services firms, has seen many of its executives take senior leadership positions in the presidential administrations of both Democrats and Republicans, including the present Secretary of the Treasury, Steven Mnuchin. The same trend is occurring on a global level; Mario Draghi, the president of the European Central Bank, was previously a vice chair and managing director of Goldman Sachs International, and Mark Carney, the governor of the Bank of England, worked for Goldman Sachs as well. The large number of executives from one of the biggest investment banks in the world moving in and out of government service causes some critics to warn of the “fox guarding the hen house” approach to regulation. Is the relationship between government and the private sector sometimes too cozy? Does this revolving door in fact result in bad policy?

Of course, it would be incorrect to assume, because multiple executives of a firm landed in government positions, that the firm is automatically guilty of wrongdoing. Individuals make decisions and take actions. They are free to choose where they work, given their range of options. Goldman Sachs has created several programs with ethical goals. The company encourages clients to consider environmental and sustainability issues, and it backs green bonds, which are used to fund projects that have positive environmental and/or climate benefits. In truth, our government would find it difficult to function without the expertise from the private sector supplementing that of the public sector in public service positions.

Research by the Federal Reserve Bank of Kansas City demonstrates how regulation and legislation in this area must strike a balance between encouraging and discouraging executives from the private sector to serve in high-level government positions. Our system of government service does not want to run the risk of undermining “the ability of regulatory agencies to seek and retain top-level talent, but at the same time we do not want to impair the independence of government policymakers.”

A quick look at some figures indicates the scope of the problem. A 2008 General Accounting Office survey of fifty large defense contractors revealed that almost ninety thousand people who had left the Department of Defense in the preceding eight years were afterwards employed by private-sector companies doing business with the government as contractors. While legal restrictions exist to limit the revolving door effect, most relate only to direct government contracting. Private-sector companies seeking to acquire talent by hiring former employees of the federal government must be aware of the statutory and regulatory restrictions and their associated penalties.

One rule says former senior government employees may not make any communication with their former agency with the intent to influence the agency for one year after leaving service. The ban is extended to two years for certain “very senior” officials. Penalties for violations can include fines of up to $50,000 per violation and/or twice the amount of compensation received. On a company level, the penalty can be up to $500,000 per violation and/or twice the amount of the contract. Moreover, individuals who intentionally violate the law may be subject to criminal penalties, which can include up to five years in jail.

Of course, the relationship between government and business is an important one, and expertise in a field can be extremely valuable to both sides in a business-government partnership. However, this collaboration should be transparent and subject to public scrutiny, as noted by the Brookings Institution, one of the oldest nonprofit public policy think tanks. In a report entitled “Amateur Government: When Political Appointees Manage the Federal Bureaucracy,” the Institution warns against the potential for conflicts of interest stemming from allowing too many industry executives to move into government service, set overtly pro-industry policies, and then go back to their higher-paying, private-sector jobs. The key is to seek a balance.

SUMMARY

In this lesson, you learned about **government regulation and the Constitution**, and the political dispute over whether regulation should be relegated to the states, per the Tenth Amendment, or regulated by the federal government, per the Commerce Clause. You also learned about **the revolving door between private companies and the government**. In a standard model, we might

observe government inspectors regulating private business, but when we look a bit closer, we might see that the government inspector was once (and may be again) an employee of the private company. On the one hand, industry professionals are experts, but on the other, they may have a conflict of interest and compromise the purpose of the office they hold.

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